

China: Retail sales revisited

In this report, we revisit the *sharp slowdown in retail sales growth* this year. We find the slowdown was mainly driven by subsidized goods, which were affected by payback effects from *the trade-in program*. The first-ever release of aggregate retail sales growth covering goods and all services (including catering) suggests overall services consumption growth has remained relatively stable. Beijing's multi-year trade-in subsidy program has exhausted its capacity to stimulate goods consumption, while services consumption proves more difficult to boost through subsidies due to its non-standardized nature and inherent price volatility. With limited policy room remaining, we are lowering our quarterly retail sales growth forecasts for Q2-Q4 to 0.2% y-o-y, 2.4% and 3.5%, respectively, from 2.8%, 3.5% and 3.7%. Our full-year forecast is thus lowered to 2.2% from 3.2%.

A recent research report from *CF40* suggests balance sheet repair is already underway, but we believe this is partly driven by households cutting spending and paying down debt, which further dampens consumption. Moreover, amid the current AI boom, the repair appears concentrated in the wealthiest cohorts, who have the lowest marginal propensity to consume (see *China: AI boom, property bust and K-shapes*, 27 May 2026). We maintain our view that the cleanup of bad debt in the *property sector* and a comprehensive reform to the *basic pension system* remain the most effective policy solutions to bolster consumption and reduce inequality.

A review of the slowdown in headline retail sales

Headline retail sales growth slowed sharply in April and May to 0.2% y-o-y and -0.6%, respectively, from 2.4% in Q1 and 3.7% in 2025. The slowdown was mostly attributable to goods sales, which slowed notably to 1.2% y-o-y from 3.8% in 2025, while catering services remained steady at 3.1% in January-May 2026 (2025: 3.2%). Within goods sales, we observed a *broad-based decline in sales growth among major subsidized durable goods: Retail sales growth in autos* plunged to -11.8% y-o-y in January-May 2026 from -1.5% in 2025. Retail sales growth in the home appliance and furniture sectors slumped to -6.9% y-o-y and -3.0%, respectively, in January-May 2026 from 11.0% and 14.6% in 2025, while retail sales growth in communication appliances, office appliances, and sports & entertainment sectors slowed sharply to 13.8% y-o-y, 3.8% and -2.4%, respectively, from 20.9%, 17.3% and 15.7% in 2025 (Figure 1).

Estimating the impact of payback effects

Payback effects are inevitably taking a toll on those subsidized durable goods after two years of trade-in stimulus (August-December 2024: central government funding RMB150bn; *2025: RMB300bn*; *2026: RMB250bn*). The effects started to emerge in H2 2025 and became more acute in 2026. We take a look at categorical breakdown and estimate how much the slowdown in goods sales is attributable to payback effects.

The NBS does not report the actual sales value of each merchandise category, which makes estimating the impact of payback effects on headline retail sales less straightforward. However, the NBS does report the sales value of each merchandise category among retail enterprises above a designated size, which accounted for 42% of total merchandise sales and 37% of total retail sales in 2025.

We aggregated the subsidized goods categories among merchandise retail enterprises above the designated size reported by the NBS. The combined value of subsidized durable goods accounts for 44% of total merchandise sales above the designated size and 16% of total retail sales. For the breakdown by item (Figure 2), autos represent the largest category, comprising 27% of above-size goods retail, followed by home appliances (6%), communication appliances (5%), office appliances (3%), furniture (1%), and sports and entertainment (1%).

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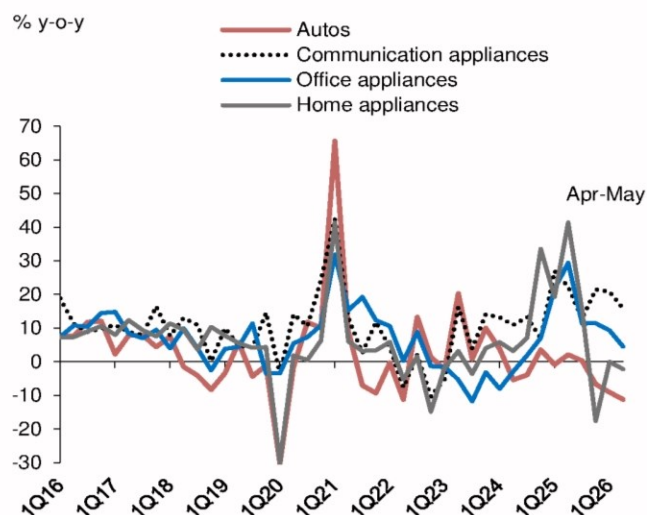
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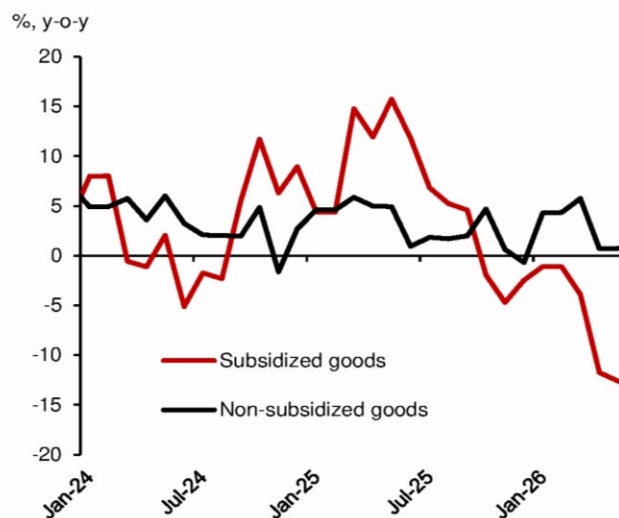
We estimate the combined value of subsidized goods sales growth fell by 11.6pp, from 5.1% in 2025 to -6.4% y-o-y in January-May 2026, contributing -5.0pp to the 4.2pp slowdown in above-size merchandise retail sales growth during this period (Figure 3). Sales growth for non-subsidized goods, on the other hand, increased from 2.1% in 2025 to 3.5% y-o-y in year-to-date 2026, offsetting the slowdown in total above-size merchandise sales growth by 0.8pp. In other words, payback effects could explain the entire slowdown in goods sales.

Fig. 1: Retail sales growth in major subsidized goods



Source: Wind, Nomura Global Economics.

Fig. 2: Subsidized goods vs non-subsidized goods



Source: Wind, Nomura Global Economics.

Fig. 3: Goods sales breakdown: Subsidized and Non-subsidized

Goods sold among big retailers	a	b	c	=a*(c-b)
	Share	Retail sales growth in 2025	Retail sales growth in ytd 2026	Contribution to above- size merchandise retail sales growth change
	%	% yoy		pp
Subsidized goods	43	5.1	-6.4	-5.0
Autos	27	-1.5	-11.8	-2.8
Home appliances	6	11.0	-6.9	-1.1
Communication appliances	5	20.9	13.8	-0.4
Office appliances	3	17.3	3.8	-0.4
Furniture	1	14.6	-3.0	-0.2
Sports & entertainments	1	15.7	-2.4	-0.2
Non-subsidized goods	57	2.1	3.5	0.8
Petroleum products	12	-5.7	-5.8	0.0
Food	13	9.3	7.4	-0.2
Garments & footwear	8	3.2	7.2	0.3
Daily necessities	5	6.3	4.6	-0.1
Medicines	4	1.8	3.1	0.1
Tobacco & liquor	3	2.7	13.4	0.4
Cosmetics	3	5.1	4.9	0.0
Gold & jewelry	2	12.8	2.8	-0.2
Beverages	2	1.0	6.0	0.1
Decoration materials	1	-2.7	-8.4	-0.1
Others	3	2.9	2.7	0.0
Total	100	3.4	-0.8	-4.2

Source: Wind, Nomura Global Economics.

A broader picture of consumption beyond headline retail sales

Headline retail sales data do not provide a comprehensive picture of consumption, as it excludes service consumption other than catering. In this section, we estimate the share and performance of this missing component following the NBS's first-ever release of aggregate retail sales growth covering both goods and services in May. We calculate that aggregate retail sales of all goods and services slowed to 2.8% in the first five months of the year from 4.4% in 2025 (Figure 4). Services excluding catering account for 30% of aggregate retail sales, with growth remaining stable at 6.0% y-o-y in the first five months of this year (2025: 6.1%). This broader view of retail sales data further reinforces our conclusion that goods sales were the main drag on consumption growth.

How did we arrive at this?

The retail sales data (short for "total society-wide retail sales of consumer products") measures goods and catering services sold directly to domestic households and entities for final consumption. The part of services consumption other than catering is excluded from retail sales. Since 2023, the NBS started to separately report retail sales growth in all services sectors in year-to-date terms. However, the relative size of the services sector consumption remained unknown.

This missing piece was recently addressed when the NBS for the first time reported aggregate retail sales data ("total society-wide retail sales of consumer products including services"). Along with the [May activity data release](#), the NBS reported aggregate retail sales growth of 2.8% y-o-y in the first five months of 2026. With 1.2% y-o-y growth in goods retail sales and 5.4% in services retail sales during the same period, we derive that goods and services accounted for 62% and 38%, respectively, of aggregate retail sales.

Given the 62% share of goods sales, we calculate the catering services share at 8%, as the NBS reports the absolute value of both goods and catering sales. Thus, services excluding catering account for 30%. Using this breakdown of total retail sales of goods and services, we calculate that services excluding catering registered 6.0% y-o-y growth in the first five months of 2026. We find that goods consumption was the largest drag on aggregate retail sales this year, registering 1.2% y-o-y growth in January-May 2026, followed by catering (3.1% y-o-y), while services excluding catering provided some support (6.0% y-o-y).

Fig. 4: Aggregate retail sales breakdown

Goods sales (62% of total retail) growth dropped notably from 2025, while services (38%) remained steady

Category	Share	2025	Ytd 2026
	%	% y-o-y	
Total retail sales of goods and services	100	4.4	2.8
Goods	62	3.8	1.2
Catering	8	3.2	3.1
Services excl. catering	30	6.1	6.0
Retail sales (goods+catering)	70	3.7	1.4
Services incl. catering	38	5.5	5.4

Source: Wind, Nomura Global Economics.

K-shaped wealth effects are a drag on overall consumption growth

A recent research report ^[1] conducted by *CF40 Research*, a think tank specializing in macroeconomics and policy research, showed that aggregate household balance sheets have been repairing since late 2024. We believe the mechanism through which this repair occurs limits any positive consumption spillover. First, the balance sheet repair occurs exclusively among the wealthiest cohorts who possess the lowest marginal propensity to consume, while most households remain mired in balance sheet deterioration. Second, the balance sheet repair was driven partly by improving net income surpluses, which were a result of aggressive spending cuts, not robust income growth.

K-shaped wealth effects from property and stock market

As we noted in our *previous report*, performances across the property market are diverging, with price stabilization and modest gains concentrated in tier-one cities, while smaller cities continue to experience price declines. Second, the AI boom and stock market rally disproportionately benefit high net worth individuals who hold meaningful equity allocations that made gains on the recent AI market rally, whereas the majority of households have minimal stock market exposure and derived little from these asset price increases. This creates a K-shaped wealth effect, where the balance sheets of only the wealthiest households strengthened, while the vast majority face continued balance sheet deterioration due to ongoing real estate asset depreciation and limited participation in financial markets.

A repair through austerity rather than prosperity

The report from *CF40 Research* shows that households are building net income surpluses, but this accumulation is the result of aggressive spending cuts and defensive saving behavior, not robust income growth.

In other words, Chinese households are essentially repairing their balance sheets through austerity rather than prosperity, paying down debts and hoarding precautionary savings in response to future income uncertainty, a weak social protection network and a perennial property crisis. This pattern fundamentally differs from organic balance sheet repair driven by rising incomes. In such a situation, a seemingly improving household balance sheet could weigh on consumption growth.

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1. The turning point: assessing the structural repair of Chinese household balance sheets and its macroeconomic implications, *CF40 Research*, April 2026.

Appendix A-1

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